

22.	24PR0084	IN RE THE MATTER OF THE VISMAN FAMILY REVOCABLE TRUST
PETITION HEARING		

On April 27, 2026, Petitioners, Brad D. Visman and Brad D. Visman, Jr. (collectively “Petitioners”), filed a Petition Under Cal. Prob. Code §§ 16400 & 17200 for Orders: 1) Compelling Trustees Michael C. Visman and Mark S. Visman to Account; 2) Enjoining Breach of Trust by Trustees; 3) Denying Compensation of Trustees; 4) Removing Trustees and Appointing Independent Trustee; 5) Surcharging Trustees for Breach of Trust; and 6) for Attorney Fees and Costs. Respondents, Michael C. Visman and Mark S. Visman (collectively “Respondents” or “Trustees”), filed an Objection on June 3, 2026.

On June 15, 2026, the Court ordered the Trustees to serve a code-compliant accounting upon Petitioner, covering the period of October 15, 2023, through the date of the Court’s order. All remaining issues were continued to September 21, 2026, to allow the Court time to issue its final ruling on the April 2, 2024, Petition for Instructions (the “2024 Petition”), which was taken under submission on May 1, 2026.

The Ruling on Submitted Matter was issued on July 29, 2026. The Court found, in part, that Boa Vista is an asset of El Dorado Orchards, Inc. (“EDO”) and not an asset of the Trust. The Court also set aside the deed and ordered the return of the Duck Club property to the Trust. Petitioners filed an appeal with the Third District Court of Appeal on September 8, 2026, regarding the Ruling on Submitted Matter, except for Section IV “Validity of Duck Club Property Grant Deed.”

Petitioners filed a Brief in Support of Petition for Removal of Trustees on September 11, 2026. Petitioners request a finding that the Trustees have breached their fiduciary duties, the immediate removal of the Trustees, and the appointment of a neutral professional fiduciary pending resolution of all other matters in the administration. Additionally, Petitioners request the Court reserve on the issues of surcharge until further discovery can be conducted to determine the exact sum which should be reimbursed to the Trust.

Legal Principles

Probate Code § 15642 provides, in part:

- (a) A trustee may be removed in accordance with the trust instrument, by the court on its own motion, or on petition of a settlor, cotrustee, or beneficiary under Section 17200.
- (b) The grounds for removal of a trustee by the court include the following:
 - (1) Where the trustee has committed a breach of the trust.

...

(9) For other good cause.

(e) If it appears to the court that trust property or the interests of a beneficiary may suffer loss or injury pending a decision on a petition for removal of a trustee and any appellate review, the court may, on its own motion or on petition of a cotrustee or beneficiary, compel the trustee whose removal is sought to surrender trust property to a cotrustee or to a receiver or temporary trustee. The court may also suspend the powers of the trustee to the extent the court deems necessary.

The trustee has a duty to administer the trust solely in the interest of the beneficiaries. Probate Code § 16002.

The trustee has a duty not to use or deal with trust property for the trustee's own profit or for any other purpose unconnected with the trust, nor to take part in any transaction in which the trustee has an interest adverse to the beneficiary. Probate Code § 16004(a).

Discussion

Petitioners contend that their request for removal stems from the Trustees' actions in the litigation related to the 2024 Petition, by which actions the Trustees have breached their fiduciary duties and wasted trust assets. Petitioners argue that Trustees' position denying Boa Vista was an asset of the Trust and not subject to the terms of the trust instrument in its management and distribution while using trust assets to pay attorney fees and costs to pursue their position is a breach of their fiduciary duties.

Upon receipt of the First Account, Petitioners learned the Trustees' have utilized trust funds in excess of \$190,000 to pay attorney fees and costs to advance their own personal interests to the detriment of the trust estate. Petitioners contend that there are no facts to suggest that the attorney fees and costs identified in the First Account were connected to any task necessary to the Trust administration and their involvement in the litigation related to the 2024 Petition was not a benefit to the Trust, as it was a deprivation of Trust Assets and not reasonable.

Petitioners assert that by advancing this position, Trustees were advancing their own personal interests as shareholders of EDO and accordingly breached their fiduciary duty to avoid conflicts of interest, engaged in self-dealing, and breached their duty of loyalty. They further breached their duty to act impartially by opposing Petitioner, as a beneficiary of the Trust.

The Court does not find that by opposing Petitioners' position, Trustees breached their fiduciary duties. Trustees defended a position in which they had a good faith belief that the Trust was not the lawful owner of Boa Vista, which this Court confirmed.

Petitioners further argue that by taking a position that the Duck Club deed was a valid and effective transfer of the property out of the Trust constituted a breach of the Trustees' duty

to control and preserve a trust asset. The Trustees utilized trust funds to pay the attorney fees and costs related to their defense of the fraudulent deed, as well as to prepare the documents necessary to void Michael Visman's 2019 deed to the Settlor's residence, which was necessary to unwind the result of his undue influence.

By defending this position, which this Court found to be an exertion of undue influence, and utilizing Trust funds for attorneys' fees to do so, the Court finds that Trustees breached their fiduciary duties, including the duty of loyalty, the duty to avoid conflicts of interest, duty to control and preserve a trust asset, and the duty to administer the trust solely in the interest of the beneficiaries. Such actions warrant the removal of Trustees. The Court orders the immediate removal of the Trustees and the appointment of a neutral professional fiduciary pending resolution of all other matters in this administration. The Court reserves jurisdiction on the issue of surcharge until further discovery can be conducted to determine the exact sum which should be reimbursed to the Trust.

Petitioners also argue that Trustees have utilized Trust assets to pursue their personal interests which are unconnected to the trust administration, including paying attorneys' fees for their counsel to appear at a hearing in the unrelated proceeding of the Estate of Mason Visman on March 16, 2026, and March 23, 2026, on Trustees' behalf in order to oppose a petition asking the Court to determine the viability of a creditor claim by EDO against the estate. Trustees' sole purpose was to advance their own personal interests as individual shareholders of EDO.

To the extent Trustees utilized Trust funds in this manner, the Court finds such use to be a breach of fiduciary duties and is subject to surcharge. The Court reserves jurisdiction on the issue of surcharge until further discovery can be conducted to determine the exact sum which should be reimbursed to the Trust.

TENTATIVE RULING #22:

ABSENT OBJECTION PETITIONER'S REQUEST FOR A FINDING THAT THE TRUSTEES HAVE BREACHED THEIR FIDUCIARY DUTIES, THE IMMEDIATE REMOVAL OF THE TRUSTEES, AND THE APPOINTMENT OF A NEUTRAL PROFESSIONAL FIDUCIARY PENDING RESOLUTION OF ALL OTHER MATTERS IN THE ADMINISTRATION IS GRANTED. THE COURT RESERVES JURISDICTION ON THE ISSUES OF SURCHARGE. ANY PERSON WHO HAS AN OBJECTION MAY MAKE IT ANY TIME, EVEN ORALLY AT THE HEARING (PROBATE CODE § 1043).

IF A PARTY OR PARTIES WISH TO APPEAR REMOTELY, INSTRUCTIONS FOR REMOTE APPEARANCES CAN BE FOUND ON THE COURT'S WEBSITE.